compounding at 33 percent gross during the seven years prior to the fund's launch. During the combined 26-year track record, Claugus had five losing years; two of them were very modest: 3 percent or less. The only significant negative years were 1991, when his account was down 12 percent, 2008 when the fund lost 25 percent, and 2011 when the fund was down nearly 9 percent. In each case, the subsequent year's gain more than doubled the loss (excluding 2011, for which the following year's return is unknown at this writing). For example, following the dismal 2008 performance, the fund was up 56 percent in 2009, its best year ever.

Claugus is a natural contrarian. He often lags badly when others are making easy money and soars when others are panicking. This mirror image investing experience was clearly evident in the final year of the tech bubble (1999) and its aftermath. Claugus actually had a small loss in 1999 when the S&P 500 was up 21 percent, but then scored large gains during the major bear market of 2000 to 2002. The one glaring exception in avoiding poor performance in a bear market was the financial meltdown of 2008 when Claugus lost money along with most everyone else.

Even when Claugus is doing well during strong equity market years, the source of profits may be counterintuitive. As a case in point, Claugus achieved an 18 percent annual compounded return during the 1990s (his fund launched in 1993), not by riding the steadily rising tide of stock prices, but by being net short throughout the period. Claugus's highly differentiated exposure levels (vis-à-vis most equity hedge funds) have been one of the characteristics, besides solid long-term returns, that have attracted investors, particularly those managing multifund portfolios. Claugus's hedge fund company, GMT, currently manages $5.0 billion in its onshore and offshore Bay Resource funds.

Claugus is based in Atlanta where I met him a decade earlier when giving a talk to a regional hedge fund group. I interviewed Claugus when he came to New York City to attend a conference. We met after the day's sessions were complete and found an empty meeting room where we could talk in relative privacy. We were periodically interrupted by a security guard who first came by to see who we were and then returned intermittently to see when we would be leaving.

■ ■ ■